easyJet

FY2025 (Oct 2024 to Sep 2025) · Low-cost airline · reporting currency GBP · peer group: Low-cost airlines

Credit tearsheet
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SNAPSHOT

easyJet, the UK low-cost carrier, grew revenue by **8.6%** to **GBP 10.1bn** in FY2025 while holding its EBITDA margin broadly unchanged at **14.2%**.

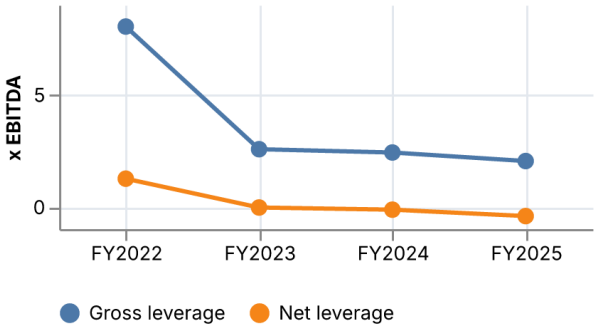
The balance sheet strengthened: net leverage fell by **0.29x** to **-0.42x**, a net cash position, as total debt was reduced by **10.8%**.

The point to watch is liquidity: cash liquidity to revenue fell by **2.3 points** to **34.9%**, and the EBITDA margin of **14.2%** is the weakest of the low-cost peers (**3rd of 3**).

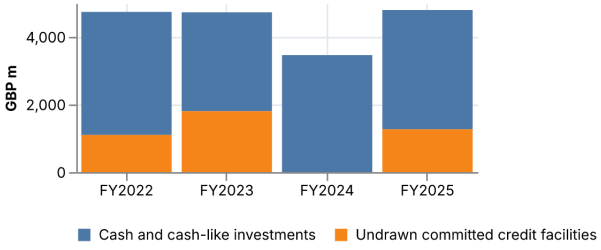
KEY FIGURES

	FY2022	FY2023	FY2024	FY2025
Revenue	GBP 5.8bn	GBP 8.2bn	GBP 9.3bn	GBP 10.1bn
EBITDA	GBP 537m	GBP 1.1bn	GBP 1.4bn	GBP 1.4bn
EBITDA margin	9.3%	13.8%	14.6%	14.2%
Total debt	GBP 4.3bn	GBP 2.9bn	GBP 3.3bn	GBP 2.9bn
Net debt	GBP 670m	GBP −41.0m	GBP −181m	GBP −602m
Net leverage	1.25x	−0.04x	−0.13x	−0.42x
Gross leverage	8.03x	2.56x	2.41x	2.03x
Interest coverage	3.76x	6.26x	10.30x	9.22x
FFO to debt	9.4%	33.0%	38.1%	44.0%
Free cash flow	GBP 246m	GBP 797m	GBP 536m	GBP 624m
FCF to debt	5.7%	27.6%	16.3%	21.3%
Capex intensity	9.2%	9.2%	10.0%	9.9%
Liquidity	GBP 4.7bn	GBP 4.7bn	*pending*	GBP 4.8bn
Liquidity to revenue	82.2%	57.8%	*pending*	47.4%

LEVERAGE



LIQUIDITY



CREDIT METRICS

EBITDA rose by **5.9%** to **GBP 1.4bn** on revenue up **8.6%**, and operating profit increased by **18.2%** to **GBP 696m** as depreciation fell by **3.5%**.

Total debt was cut by **10.8%** to **GBP 2.9bn**, taking gross leverage down by **0.38x** to **2.03x** and leaving net cash of **GBP 602m** against **GBP 181m** in FY2024.

Cash generation improved: FFO rose by **3.0%** to **GBP 1.3bn**, lifting FFO to debt by **5.9 points** to **44.0%**, and free cash flow rose by **16.4%** to **GBP 624m** despite capex up **7.8%** to **GBP 1.0bn**.

Interest coverage eased by **1.08x** to **9.22x** as finance costs rose by **18.2%** to **GBP 156m**, with airline net financing charges up on lower interest income on cash and higher charges on borrowings.

Revenue: As reported in the income statement (IFRS tag ifrs-full:Revenue).
EBITDA: Operating profit + depreciation, amortisation and impairment, excluding the share of associates' results where the company reports it inside operating profit.
EBITDA margin: EBITDA ÷ revenue.
Total debt: Borrowings + lease liabilities, current and non-current.
Net debt: Total debt − cash and cash-like investments. Negative means net cash.
Net leverage: Net debt ÷ EBITDA. Not meaningful (n.m.) when EBITDA is zero or negative.
Gross leverage: Total debt ÷ EBITDA. n.m. when EBITDA is zero or negative.
Interest coverage: EBITDA ÷ interest expense (lease interest included); interest paid where interest expense isn't tagged, or finance costs where interest paid is printed net of interest received. n.m. when EBITDA or interest is zero or negative.
FFO to debt: FFO ÷ total debt.
Free cash flow: Cash from operations − purchases of PP&E and intangibles (cash paid).
FCF to debt: Free cash flow ÷ total debt.
Capex intensity: Purchases of PP&E and intangibles ÷ revenue.
Liquidity: Cash + cash-like investments + undrawn committed facilities.
Liquidity to revenue: Liquidity ÷ revenue.

OPERATING METRICS

	FY2022	FY2023	FY2024	FY2025
Passengers	69.7m	82.8m	89.7m	93.4m
ASK	97.3bn	113.3bn	122.9bn	134.5bn
Load factor	85.5%	89.3%	89.3%	89.8%
RASK (pence)	5.93	7.21	7.58	7.52
CASK (pence)	5.96	6.81	7.10	7.00
Fuel share of costs	22.1%	26.3%	25.5%	23.9%
Advance ticket cover	28.6%	51.2%	50.2%	55.1%

Capacity grew by **9.4%** to **134.5bn** available seat kilometres and traffic by **9.3%** to **122.0bn** revenue passenger kilometres, with passengers up **4.1%** to **93.4m**.

The load factor rose by **0.5 points** to **89.8%**, but passenger yield fell by **2.8%** to **4.98 pence**, leaving RASK broadly unchanged at **7.52 pence**.

CASK fell by **1.4%** to **7.00 pence** while CASK ex-fuel was stable at **5.32 pence**, and fuel cost was broadly unchanged at **GBP 2.3bn**, taking the fuel share of costs down by **1.6 points** to **23.9%**.

The fleet rose by **2.6%** to **356** aircraft, with an average age of **10.9 years** after the purchase of aircraft previously held on lease.

PEERS: LOW-COST AIRLINES, PEER YEAR 2025

	easyJet	Norwegian	Wizz Air	Median
EBITDA margin	**14.2%** (3)	21.2% (2)	23.2% (1)	21.2%
Net leverage	**−0.42x** (1)	1.19x (2)	3.79x (3)	1.19x
Gross leverage	**2.03x** (1)	2.46x (2)	5.28x (3)	2.46x
Interest coverage	**9.22x** (1)	6.27x (2)	5.39x (3)	6.27x
FFO to debt	**44.0%** (1)	35.4% (2)	15.2% (3)	35.4%
FCF to debt	**21.3%** (1)	14.6% (2)	11.1% (3)	14.6%
Capex intensity	**9.9%**	13.2%	7.2%	9.9%
Cash liquidity to revenue (partial)	**34.9%** (1)	26.7% (3)	34.3% (2)	34.3%
Liquidity to revenue	**47.4%** (1)	*n.a.*	*n.a.*	47.4%
Advance ticket cover	**55.1%** (2)	43.7% (1)	60.5% (3)	55.1%
Fuel share of costs	**23.9%**	28.2%	31.8%	28.2%
Load factor	**89.8%** (2)	*n.a.*	90.7% (1)	90.3%
Fuel hedge ratio	*n.a.*	*n.a.*	*n.a.*	n.a.

easyJet has the lowest net leverage of the low-cost group (**1st of 3**), at **-0.42x** against a peer median of **1.19x**, and also leads on gross leverage (**1st of 3**), interest coverage (**1st of 3**), FFO to debt (**1st of 3**) and FCF to debt (**1st of 3**).

The weakest point is profitability: the EBITDA margin of **14.2%** is the lowest of the group (**3rd of 3**) against a peer median of **21.2%**.

Capex intensity sits in the middle of the group at **9.9%**, advance ticket cover is in the middle of the group at **55.1%**, and cash liquidity to revenue is the highest of the group (**1st of 3**).

LIQUIDITY AND FUNDING

Cash and cash-like investments were broadly unchanged at **GBP 3.5bn**, and total liquidity stood at **GBP 4.8bn**, including **GBP 1.3bn** of undrawn committed facilities.

Liquidity to revenue was **47.4%**, while cash liquidity to revenue fell by **2.3 points** to **34.9%**.

Customer prepayments rose: advance ticket cover increased by **4.9 points** to **55.1%**, with contract liabilities up **12.0%** to **GBP 1.9bn**.

Funding was reshaped during the year: a new revolving credit facility replaced the previous UK Export Finance facility and smaller facility, a Eurobond was repaid at maturity, and the EMTN programme was refreshed.

WATCH ITEMS

- Profitability: the EBITDA margin of **14.2%** is below the peer median of **21.2%** and the weakest of the group (**3rd of 3**).
- Liquidity: cash liquidity to revenue fell by **2.3 points** to **34.9%**, a thinner buffer even though it remains the highest of the group (**1st of 3**).
- Coverage: interest coverage fell by **1.08x** to **9.22x** as finance costs rose by **18.2%** to **GBP 156m**.
- Customer prepayments: advance ticket cover rose by **4.9 points** to **55.1%**, so a larger share of the cash balance is refundable if bookings slow.

ANALYST VIEW

The strongest balance sheet among the low-cost peers: net cash of GBP 602m, gross leverage of 2.03x and FFO to debt of 44.0%, all first in the group. Free cash flow of GBP 624m covers 21.3% of debt, and liquidity of GBP 4.8bn (47.4% of revenue) includes the new GBP 1.3bn undrawn revolving facility. Moody's and S&P investment grade ratings were affirmed, with stable outlooks.
Profitability is the constraint: the EBITDA margin of 14.2% is the lowest of the group, against a median of 21.2%, and unit revenue (7.52 pence) runs only slightly ahead of unit cost (7.00 pence). Coverage slipped to 9.22x as financing costs rose.

Passengers: Passengers carried (airlines) or handled (airports), scope defined per company.
ASK: Available seat kilometres.
Load factor: RPK ÷ ASK.
RASK: Revenue ÷ ASK.
CASK: (Revenue − operating profit) ÷ ASK.
Fuel share of costs: Fuel cost ÷ (revenue − operating profit).
Advance ticket cover: Advance ticket sales ÷ cash and cash-like investments (how much of the cash is customers' prepayments).
Cash liquidity to revenue (partial): Cash liquidity ÷ revenue, without undrawn facilities.
Fuel hedge ratio: Share of the next twelve months' fuel needs hedged.
pending: a figure read from the report text that has not passed every check, awaiting the analyst's review; never printed as a number.
n.a.: not available for that year.
Sources: FY2023 filing · FY2024 filing · FY2025 filing. Peers' filings and every fingerprint: Excel backup, Manifest sheet.
Manifest: 117 source figures from 10 filings and documents (SHA-256 in the Excel backup); commentary drafted by deepseek-flash, prompt draft-v7, fact sheet 8dc5bbbf7004; code 144730e7036d; exported 2026-11-11 11:39 UTC.

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